

Parag Dhol, General Partner at Athera Venture Partners, concurs. He believes start-ups shouldn't depend on any one party for anything—be it funding, customers, or banking partners. Eight of Athera's active portfolio companies had operations in the US, with seven of them exposed to SVB. Calling the collapse an "isolated incident", Dhol says, "I don't know if we can have a playbook in advance. Three weeks ago, if you'd asked a WhatsApp group of founders which bank they bank with in the US, their unequivocal answer would've been SVB. It was well run, had very good customer surveys, and knew the Indian ecosystem well."

The Indian government, too, seems to hold a similar view. In a recent Twitter Spaces discussion, Rajeev Chandrasekhar, Minister of Electronics and IT, and Skill Development and Entrepreneurship, said that hundreds of Indian start-ups "opt for banking in the US because it's tied to their fundraising". Per government estimates, over \$1 billion worth of deposits made by Indian start-ups were stuck in SVB. "American banks that operate out of the Valley have had a long record of good services. The aura and reputation of the bank also play a role," said the minister.

But, within a week of SVB deposits becoming accessible again, following the intervention of the FDIC, Indian start-ups moved over \$250 million into GIFT City branches of local banks. "That's the silver lining in this dark cloud. There is new-found awe and respect for the Indian banking system," says Chandrasekhar. He reckons this could become an opportunity for Indian banks to become more start-up friendly. "They need to consider start-ups an important client base, connect with them, and smoothen



the red tape for all US-based Indian companies," he explains.

Ask founders and investors if GIFT City can be a good alternative to banking in the US, and they tread with caution. "There is apprehension in the start-up community that you won't be able to easily remit the money outside India to fund operations," Blume's Fafadia reveals. "So, the government needs to take



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steps to assure start-ups that the money in GIFT City accounts will be treated as overseas capital and not be mixed with domestic capital." He adds that the current situation is also an ideal opportunity for the government to position India as a stable destination for deposits, and educate people globally on the maturity of Indian banking.

Even outside of GIFT City, the consensus is that Indian banks need to become more "tech forward" and founder-focussed. It is time they stood by the country's rapidly growing innovation economy. "While these banks may be hesitant to lend to start-ups, they could design products such as deposits, banking accounts, transac-